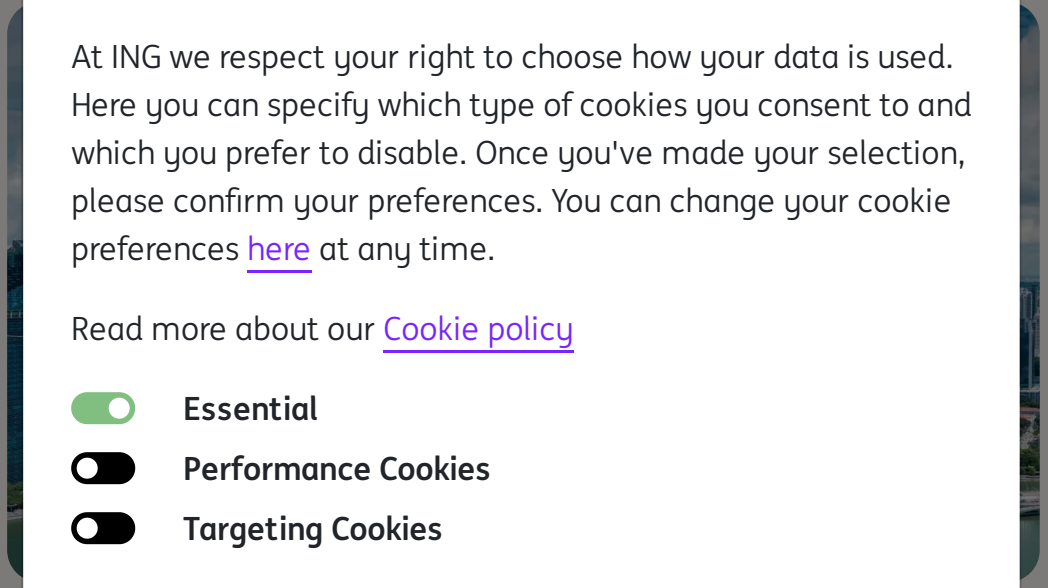
The Monetary Authority of Singapore left policy unchanged today. While a lower 2026 inflation forecast and a more balanced assessment of inflation risks point to a less hawkish stance, strong growth and lingering upside inflation risks suggest the tightening cycle may not be over yet



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Policy settings unchanged, Inflation forecast lowered

The Monetary Authority of Singapore (MAS) left its monetary policy settings unchanged today, surprising both us and the market, which had largely anticipated a modest tightening. MAS maintained the pace of appreciation of the SGD NEER policy band at our estimated 1.25%, with no adjustments to the width of the band or its centre.

That said, the overall tone of the statement was less hawkish than expected. MAS lowered its 2026 core inflation forecast to 1.5-2.0%, from 1.5-2.5% previously projected at its July policy review, while noting that headline inflation is likely to average around 2%.

Separately, Singapore's 3Q GDP growth came in stronger than expected at 5.4% year-on-year, underscoring the economy's resilience. Looking ahead, growth is expected to remain steady, supported by robust demand for AI-related products and continued expansion in production capacity, which should sustain strong momentum in the technology sector in the near term.

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inflation outlook has improved, we do not believe risks have disappeared. Domestic inflation could prove stickier if spillovers from the AI-driven investment cycle become broader-based, boosting demand and pushing unit labour costs higher than currently anticipated. Weather-related disruptions could also add to food price pressures. As such, we continue to see the balance of risks to inflation as modestly tilted to the upside.

On growth, MAS acknowledged downside risks, including a larger-than-expected rise in global interest rates or a sharper pullback in AI-related investment. However, it continues to expect the economy

to operate with a positive output gap, suggesting that underlying demand conditions remain supportive. This reinforces MAS's view that inflation pressures, while easing, have not been fully eliminated.

Policy implications

While MAS surprised markets by leaving policy unchanged, we do not view this as a dovish pivot. The combination of resilient growth, a positive output gap, and lingering upside inflation risks suggests that MAS is likely not done with tightening, and tightening in Jan is likely if the risks to inflation materialise.

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As such, even though the SGD NEER is already near the upper end of the policy band, the combination of strong growth, a firm inflation outlook, and lingering tightening expectations should help keep the SGD well-supported relative to its regional peers.

Singapore | Monetary policy | Asia Pacific | Asia | ASEAN

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